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SITUATIONAL ORDER FLOW

"Why be a sheep in the markets when you can be a wolf and track order flow?"

Module 5 – How To Detect Market Manipulation In The Footprint.

Situational Order Flow

Disclaimer

This course is for educational and informational purposes only and should not be considered a solicitation to buy or sell a futures contract or make any other type of investment decision. Futures trading contains substantial risk and is not for every investor. An investor could potentially lose all or more than the initial investment. Risk capital is money that can be lost without jeopardizing one's financial security or lifestyle. Only risk capital should be used for trading and only those with sufficient risk capital should consider trading. Past performance is not necessarily indicative of future results.

CFTC Rules 4.41 - Hypothetical or Simulated performance results have certain limitations, unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not been executed, the results may have under-or-over compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation is being made that any account will or is likely to achieve profit or losses similar to those shown.

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A lot of people on Fintwit and FB are always talking about market manipulation. Most of that talk is just disgruntled traders who took losses. But that is not to say that market manipulation doesn't occur. It does. It is misunderstood.

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Unfortunately, when there is a lot of money involved there will always be an element out there trying to take advantage of the system to manipulate the market to their favor.

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It is not in the interest of the market for manipulation to take place.

CME has an exchange surveillance department.

CTFC has a hotline to report and the have an investigations team.

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According to the Dodd-Frank Act, those who provide information that leads to a recovery by the CFTC or another enforcement agency are entitled to 10 percent to 30 percent of such recovery. For information that resulted in a successful enforcement action, the CFTC offered a whistleblower prize of $10 million in 2016.

For the purpose of identifying manipulative trading, Citadel developed its own algorithms and provided the CFTC with the findings.

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Market Regulation may consider a variety of factors in assessing whether conduct violates Rule 575, including, but not limited to:

- whether the market participant's intent was to induce others to trade when they otherwise would not;
- whether the market participant's intent was to affect a price rather than to change his position;
- whether the market participant's intent was to create misleading market conditions;
- market conditions in the impacted market(s) and related markets;
- the effect on other market participants;
- the market participant's historical pattern of activity;
- the market participant's order entry and cancellation activity;
- the size of the order(s) relative to market conditions at the time the order(s) was placed;
- the size of the order(s) relative to the market participant's position and/or capitalization;
- the number of orders;
- the ability of the market participant to manage the risk associated with the order(s) if fully executed;
- the duration for which the order(s) is exposed to the market;
- the duration between, and frequency of, non-actionable messages;
- the queue position or priority of the order in the order book;
- the prices of preceding and succeeding bids, offers, and trades;
- the change in the best offer price, best bid price, last sale price, or Indicative Opening Price ("IOP") that results from the entry of the order;
- the market participant's activity in related markets; and
- industry best practices regarding the design, testing, implementation, operation, change management, monitoring, and documentation of automated trading systems.

Source : https://www.cmegroup.com/rulebook/files/cme-group-Rule-575.pdf

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Flipping is defined as the entry of orders or trades for the purpose of causing turns of the market and the creation of volatility and/or instability.

A "flip" order typically has two main characteristics. First, it is an aggressor order. Second, shortly before the entry of the order, the market participant cancels an order(s) on the opposite side of the market, typically at the same price as the aggressor order. The market participant, for example, has flipped from offering to bidding at the same price. Market Regulation recognizes there are many variables that can cause a market participant to change his perspective of the market. This Rule, therefore, does not prohibit a market participant from changing his bias from short (long) to long (short).

Flipping activity may, however, be disruptive to the marketplace. For example, repeated instances of a market participant entering flipping orders that are each large enough to turn the market (i.e., being of a sufficient quantity to sweep the entire quantity on the book at the particular price level and create a new best bid or best offer price with any remaining quantity from the aggressor flipping order) can be disruptive to the orderly conduct of trading or the fair execution of transactions. In considering whether this conduct violates Rule 575, Market Regulation would consider, among other factors:

- the impact on other market participants;
- price fluctuations;
- market conditions in the impacted market(s) and related markets;
- the participant's activity in related markets;
- whether the flip involved the cancellation of a large sized order(s) relative to the existing bid or offer depth; and
- whether repeated flipping turns the market back and forth (e.g., the first flip turns the market in favor of the offer (bid) and the second flip turns the market in favor of the bid (offer)).

Source : https://www.cmegroup.com/rulebook/files/cme-group-Rule-575.pdf

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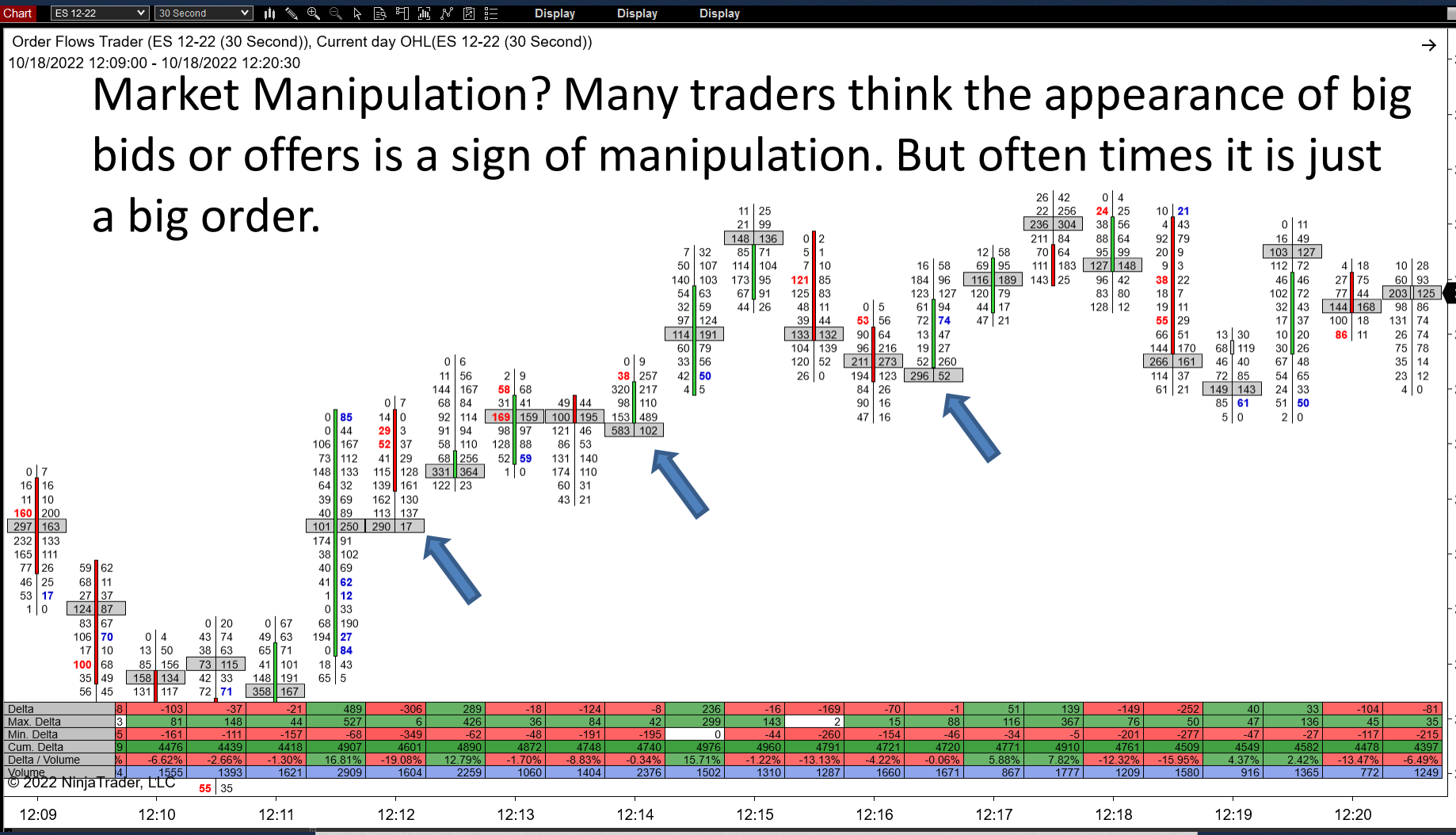
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Q9: **Is the use of iceberg orders considered misleading under Rule 575.B.?**

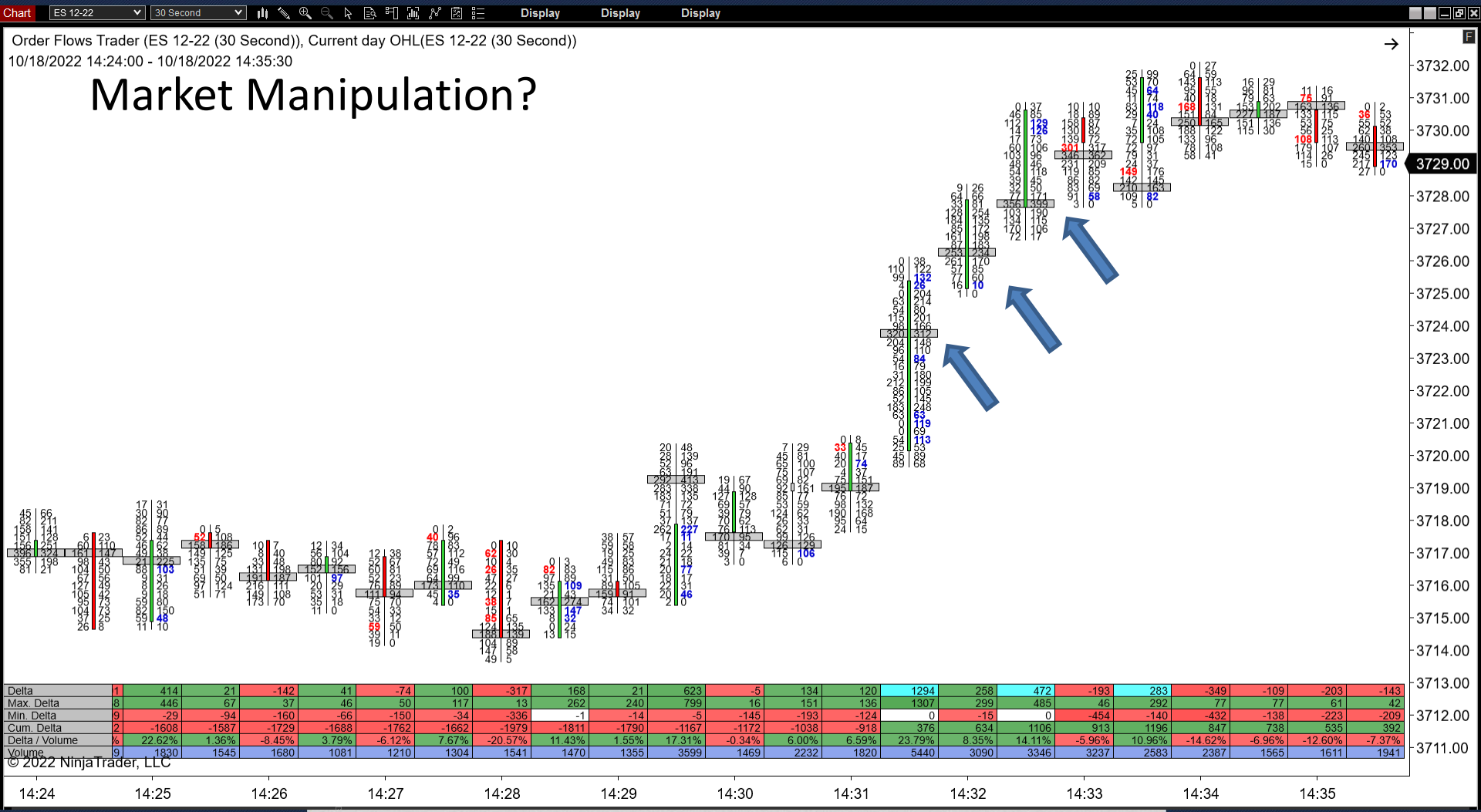
A9: No. The use of iceberg orders, in and of itself, is not considered a violation of Rule 575. However, a violation may exist if an iceberg order is used as part of a scheme to mislead other participants, for example, if a market participant pre-positions an iceberg on the bid and then layers larger quantities on the offer to create artificial downward pressure that results in the iceberg being filled.

Source : https://www.cmegroup.com/rulebook/files/cme-group-Rule-575.pdf

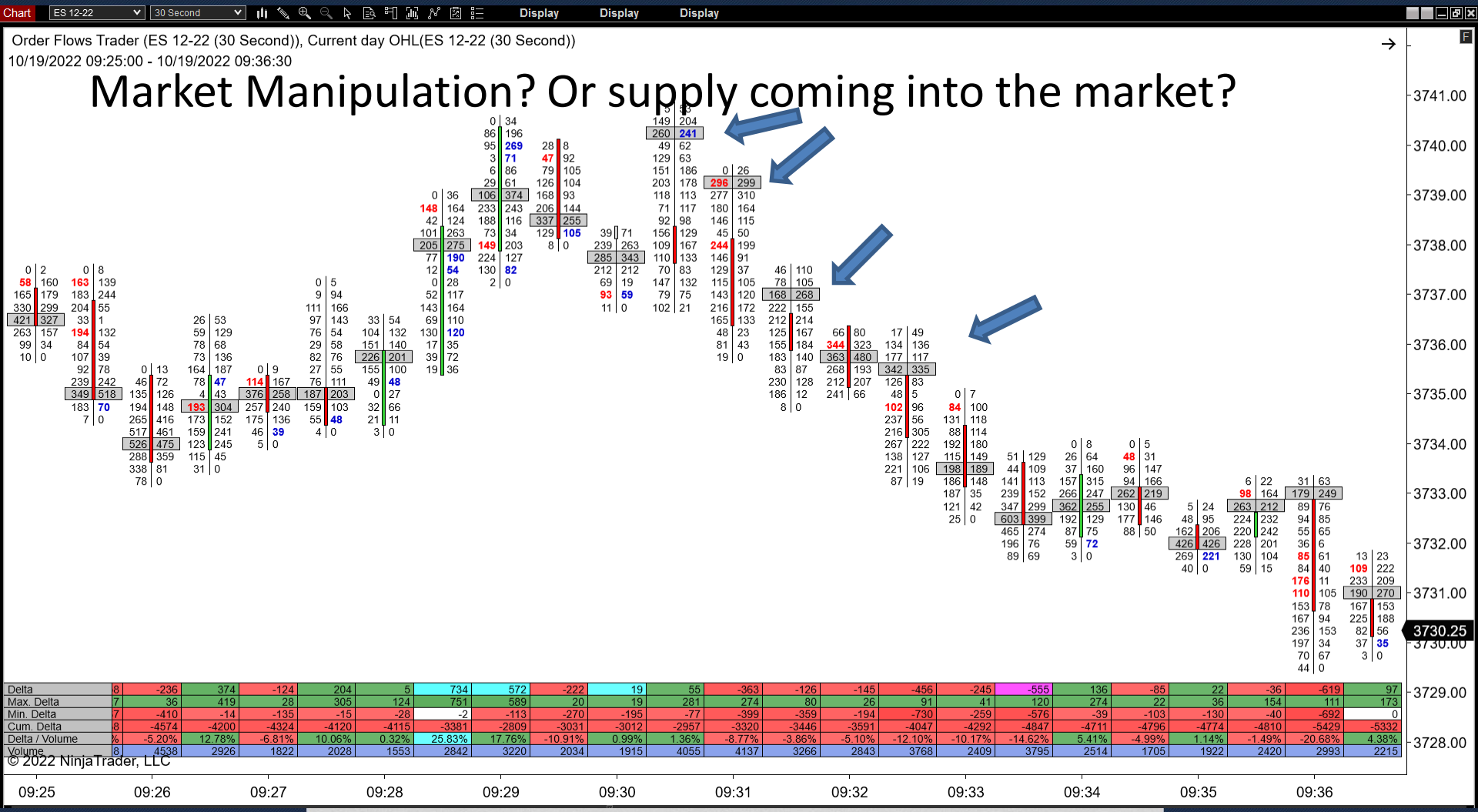
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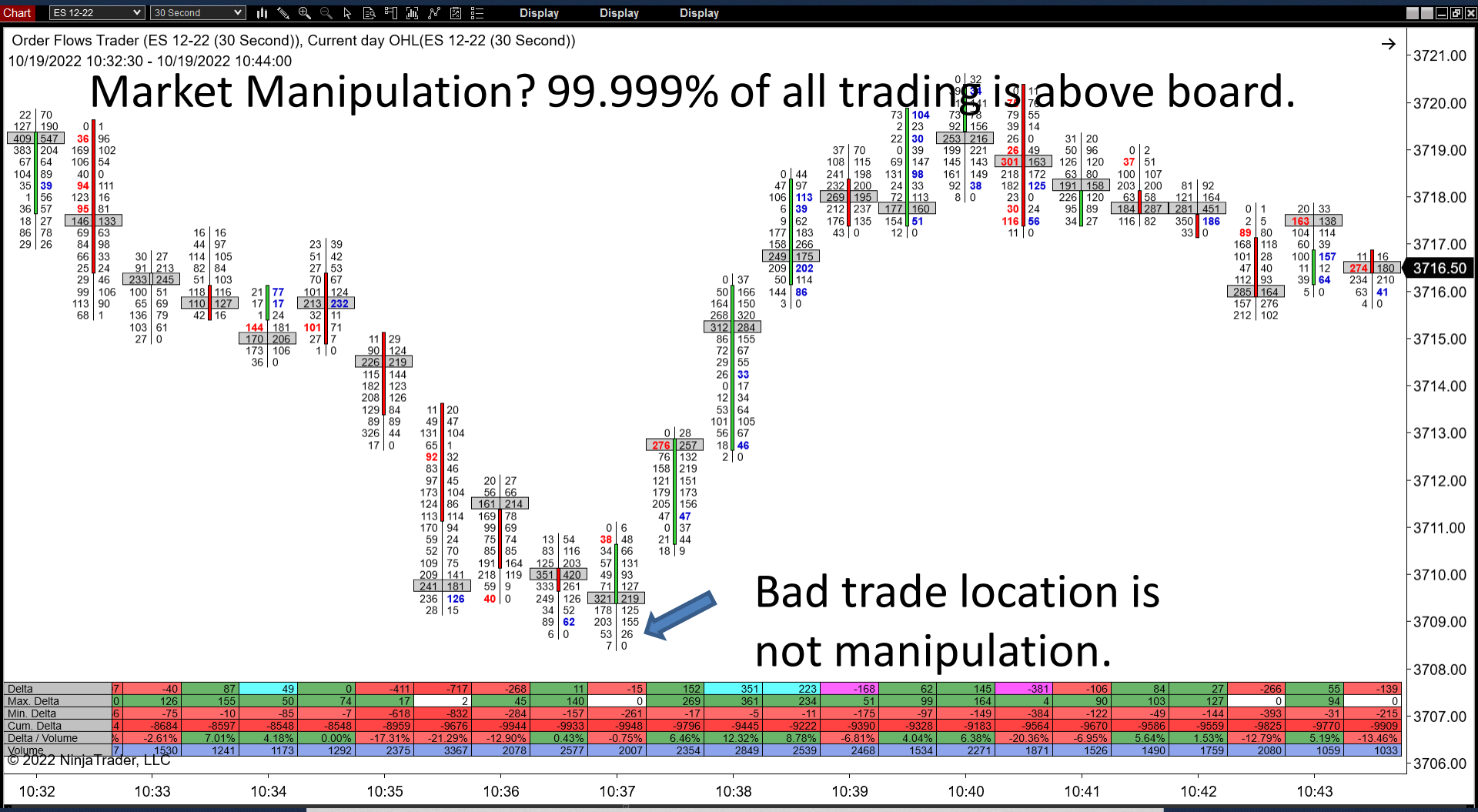
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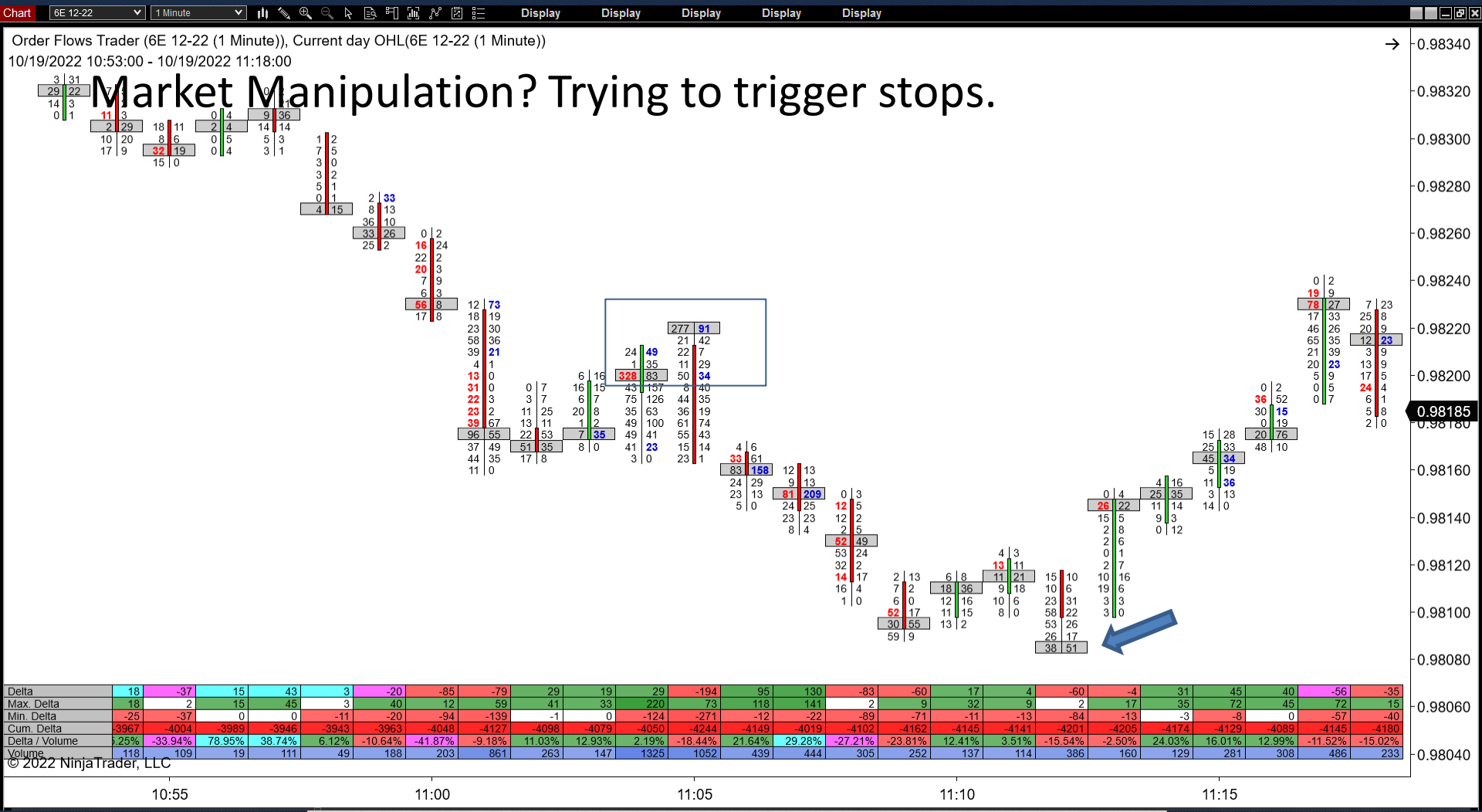
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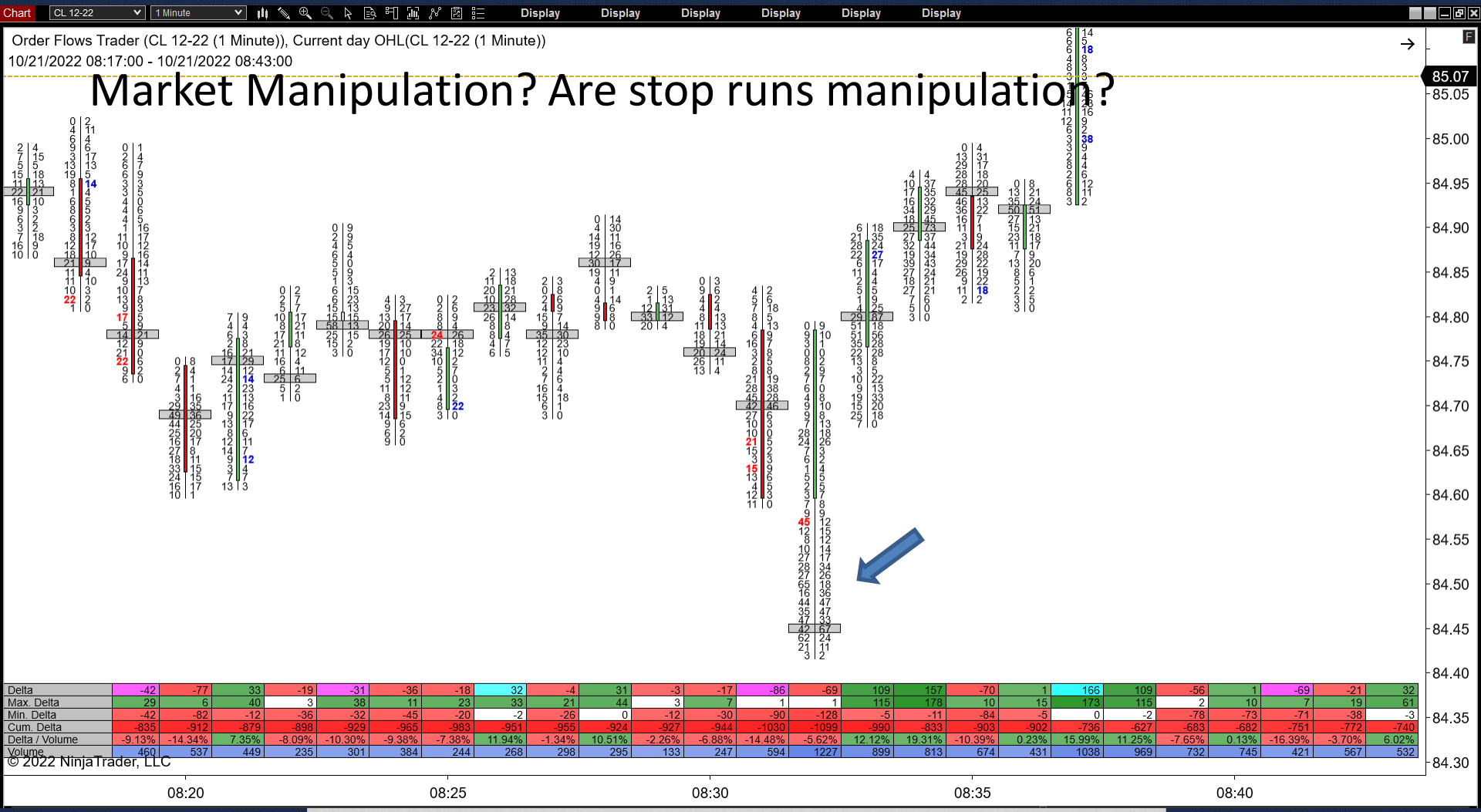
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Release Number 8514-22

CFTC Charges Tennessee Trader and Two Entities with Engaging in Cross-Market and Single-Market Spoofing and Manipulative Schemes

April 14, 2022

Washington, D.C. — The Commodity Futures Trading Commission today filed a civil enforcement action in the U.S. District Court for the Northern District of Illinois against **David Skudder**, **Global Ag LLC**, and **Nesvick Trading Group LLC** for spoofing—bidding or offering with the intent to cancel the bid or offer before execution—and for the use of manipulative schemes. The schemes involved both soybean futures contracts and options on soybean futures contracts traded on the Chicago Board of Trade. Some of their misconduct involved cross-market spoofing —i.e., spoofing in one market to benefit a position in another market, where the price of the two markets is correlated. Skudder is a founder, principal, and registered associated person of Global, a registered commodity trading advisor. Skudder is also a registered associated person of Nesvick, a registered introducing broker.

The CFTC seeks, among other things, monetary penalties, restitution, disgorgement, registration and trading bans, and a permanent injunction against further violations of the Commodity Exchange Act (CEA) and CFTC regulations.

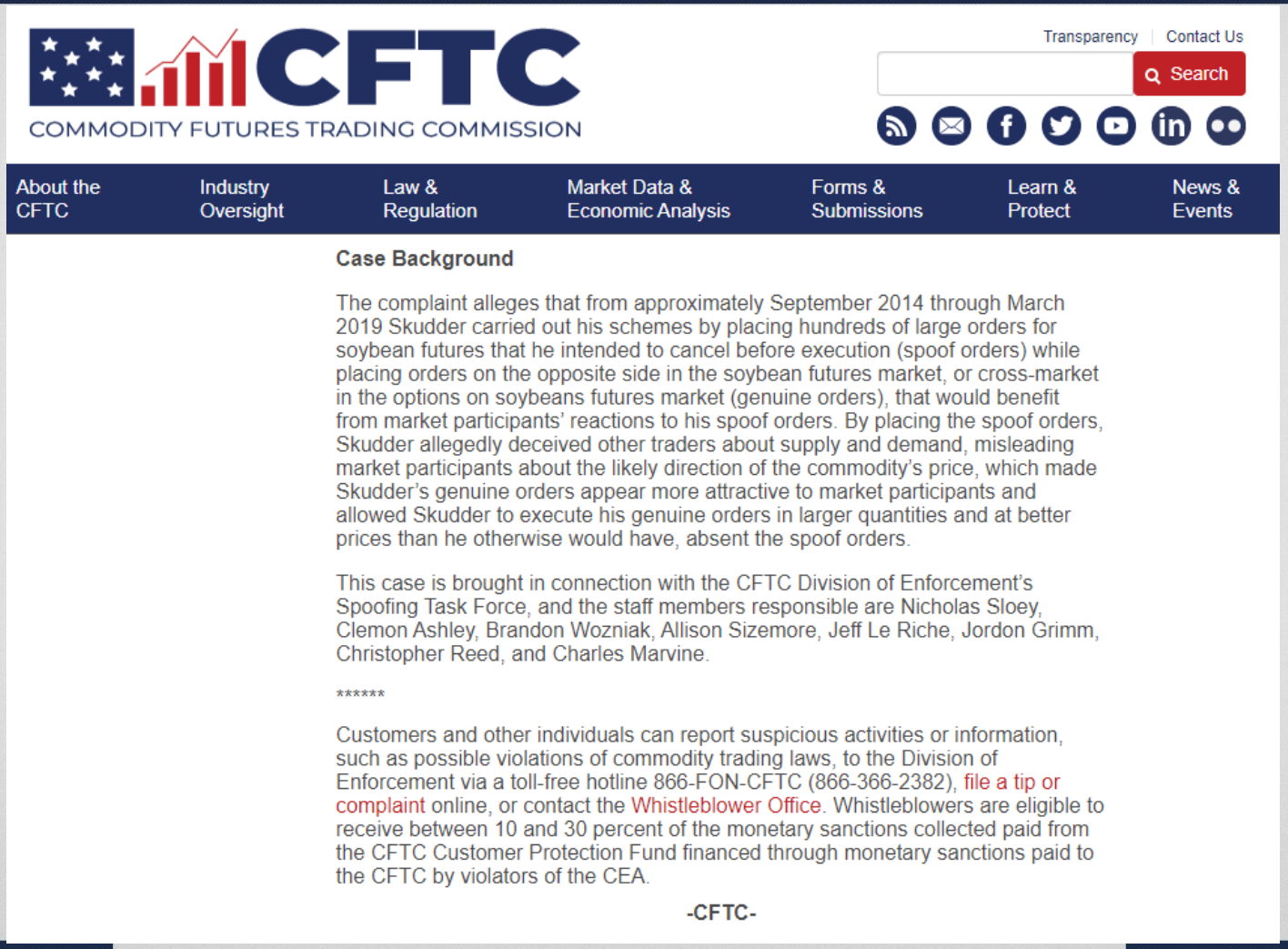
"Through this action, the CFTC shows it continues to vigorously detect and prosecute spoofing and manipulation, including when actors attempt to obscure their misconduct by using different markets or financial products," said CFTC Acting Director of Enforcement Vincent McGonagle.

RELATED LINKS

Complaint: David Skudder

Source: https://www.cftc.gov/PressRoom/PressReleases/8514-22

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Case Background

The complaint alleges that from approximately September 2014 through March 2019 Skudder carried out his schemes by placing hundreds of large orders for soybean futures that he intended to cancel before execution (spoof orders) while placing orders on the opposite side in the soybean futures market, or cross-market in the options on soybeans futures market (genuine orders), that would benefit from market participants' reactions to his spoof orders. By placing the spoof orders, Skudder allegedly deceived other traders about supply and demand, misleading market participants about the likely direction of the commodity's price, which made Skudder's genuine orders appear more attractive to market participants and allowed Skudder to execute his genuine orders in larger quantities and at better prices than he otherwise would have, absent the spoof orders.

This case is brought in connection with the CFTC Division of Enforcement's Spoofing Task Force, and the staff members responsible are Nicholas Sloey, Clemon Ashley, Brandon Wozniak, Allison Sizemore, Jeff Le Riche, Jordon Grimm, Christopher Reed, and Charles Marvine.

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Customers and other individuals can report suspicious activities or information, such as possible violations of commodity trading laws, to the Division of Enforcement via a toll-free hotline 866-FON-CFTC (866-366-2382), file a tip or complaint online, or contact the Whistleblower Office. Whistleblowers are eligible to receive between 10 and 30 percent of the monetary sanctions collected paid from the CFTC Customer Protection Fund financed through monetary sanctions paid to the CFTC by violators of the CEA.

-CFTC-

Source: https://www.cftc.gov/PressRoom/PressReleases/8514-22

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I do want to be clear, there are legal manipulations and illegal manipulations. Spoofing is illegal. Giving the false appearance of size in the market is illegal.

Hiding size using an iceberg is legal. Slicing a big order up into smaller pieces is legal. Triggering stops by trading 1 contract is legal.

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Why would traders manipulate a market?

To get the market to move away from a level right now. It is not uncommon for the level to be revisited from the level it was pushed away from.

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I won't say manipulation doesn't happen. It does. But not at the rate that many people think. Sometimes people see a big order hit the book and get pulled and they throw their arms up and scream "manipulation" when it could something as simple as a trader entered his order incorrectly, like showing the full size but not icebergingit.

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THIS CONCLUDES MODULE 5

In the next module, I will discuss structural and active order flow.